

Apple Inc.

Form 10-K Summary — Fiscal Year Ended September 28, 2024

NASDAQ: AAPL | Cupertino, California

Company Overview

Apple Inc. designs, manufactures, and markets smartphones, personal computers, tablets, wearables, and accessories, and sells a range of related services. The company's fiscal year is the 52- or 53-week period ending on the last Saturday of September; fiscal 2024 spanned 52 weeks.

Core product lines include iPhone (iOS), Mac (macOS), iPad (iPadOS), and Wearables, Home and Accessories (Apple Watch, AirPods, Apple Vision Pro, Apple TV, HomePod). Services span Advertising, AppleCare, Cloud Services, Digital Content (App Store, Apple Music, Apple TV+, Apple Arcade, Apple News+, Apple Fitness+), and Payment Services (Apple Card, Apple Pay).

The company sells directly through retail and online stores and a direct sales force, and indirectly through carriers, wholesalers, retailers, and resellers. In fiscal 2024, 38% of net sales came through direct channels and 62% through indirect channels.

As of October 18, 2024, Apple had 15,115,823,000 shares outstanding and 23,301 shareholders of record. The aggregate market value of shares held by non-affiliates was approximately \$2.63 trillion as of March 29, 2024.

Reportable Segments (Geographic)

- Americas — North and South America
- Europe — European countries plus India, the Middle East, and Africa
- Greater China — China mainland, Hong Kong, and Taiwan
- Japan
- Rest of Asia Pacific — Australia and other Asian countries not elsewhere classified

Key Financial Results (FY2024 vs. FY2023 vs. FY2022)

Income Statement Highlights (\$ millions, except per-share data)

Metric	FY2024	FY2023	FY2022
Total net sales	391,035	383,285	394,328
Products	294,866	298,085	316,199
Services	96,169	85,200	78,129
Total cost of sales	210,352	214,137	223,546
Gross margin	180,683	169,148	170,782
Gross margin %	46.2%	44.1%	43.3%

Metric	FY2024	FY2023	FY2022
R&D expense	31,370	29,915	26,251
SG&A expense	26,097	24,932	25,094
Operating income	123,216	114,301	119,437
Provision for income taxes	29,749	16,741	19,300
Effective tax rate	24.1%	14.7%	16.2%
Net income	93,736	96,995	99,803
Diluted EPS	\$6.08	\$6.13	\$6.11

Net sales grew 2% in FY2024 to \$391.0 billion, driven by 13% growth in Services (advertising, App Store, and cloud services) and modest growth in Mac and Japan/Europe regions, while Greater China and iPad declined. Net income fell 3% year over year to \$93.7 billion despite higher operating income, due to a one-time \$10.2 billion net income tax charge related to the EU State Aid Decision, which pushed the effective tax rate up to 24.1% from 14.7%.

Balance Sheet Highlights (\$ millions)

Metric	Sept 28, 2024	Sept 30, 2023
Cash and cash equivalents	29,943	29,965
Total current assets	152,987	143,566
Total non-current assets	211,993	209,017
Total assets	364,980	352,583
Total current liabilities	176,392	145,308
Total non-current liabilities	131,638	145,129
Total liabilities	308,030	290,437
Total shareholders' equity	56,950	62,146

Total assets rose 3.5% to \$365.0 billion. Total liabilities increased 6.0% to \$308.0 billion, largely reflecting higher income taxes payable (State Aid Decision) and other current liabilities. Shareholders' equity declined 8.4% to \$57.0 billion, driven by \$95.8 billion of share repurchases and \$15.2 billion of dividends exceeding net income.

Cash Flow Highlights (\$ millions)

Metric	FY2024	FY2023	FY2022
Cash generated by operating activities	118,254	110,543	122,151
Cash generated by/(used in) investing activities	2,935	3,705	(22,354)
Cash used in financing activities	(121,983)	(108,488)	(110,749)
Net change in cash	(794)	5,760	(10,952)
Repurchases of common stock	(94,949)	(77,550)	(89,402)
Dividends paid	(15,234)	(15,025)	(14,841)

Operating cash flow of \$118.3 billion remained Apple's dominant source of liquidity. Financing activities used \$122.0 billion, primarily for \$94.9 billion of share repurchases and \$15.2 billion of dividend payments — together exceeding operating cash flow and driving the modest net decrease in cash for the year.

Net Sales by Segment (\$ millions)

Segment	FY2024	FY2023	Change
Americas	167,045	162,560	+3%
Europe	101,328	94,294	+7%
Greater China	66,952	72,559	-8%
Japan	25,052	24,257	+3%
Rest of Asia Pacific	30,658	29,615	+4%
Total	391,035	383,285	+2%

Principal Risk Factors

Apple's 10-K (Item 1A) discloses a broad set of risks; the most material themes include:

- Global and macroeconomic conditions — inflation, interest rates, currency fluctuations, and geopolitical tensions can materially affect results.
- Intense competition — markets are characterized by aggressive pricing, short product cycles, and rapid technological change; competitors often compete on price and imitate Apple's products and IP.
- Customer concentration — reliance on third-party cellular carriers (38% of trade receivables) and manufacturing vendor relationships (two vendors representing 44% and 23% of non-trade receivables).
- Supply chain concentration — many components are single- or limited-sourced, and hardware manufacturing is concentrated with outsourcing partners primarily in China mainland, India, Japan, South Korea, Taiwan, and Vietnam.
- Foreign exchange and interest rate risk — as a large net receiver of non-U.S. dollar currencies, a strengthening dollar pressures net sales and margins; a hypothetical 100 bps rate increase would reduce investment portfolio fair value by roughly \$2.8 billion.
- Legal and regulatory exposure — ongoing litigation and regulatory scrutiny globally; the EU State Aid Decision alone resulted in a \$10.2 billion net one-time tax charge and a \$15.8 billion payment obligation to Ireland in FY2024.
- Tax law and rate changes — uncertain tax positions (\$22.0 billion gross unrecognized tax benefits as of FY2024) and evolving international tax frameworks.
- Cybersecurity and data privacy — as a global technology and services provider processing significant customer data.

Growth Drivers

- Services momentum — Services net sales grew 13% to \$96.2 billion (24.6% of total net sales) with gross margin of 73.9%, well above Products' 37.2%, driven by advertising, App Store, and cloud services; this remains Apple's primary margin-accretive growth lever.

- Product innovation and ecosystem expansion — new launches in FY2024 included iPhone 16 lineup, Apple Watch Series 10, AirPods 4, updated Macs and iPads, and Apple Intelligence, a new generative-AI personal intelligence system integrated across iOS 18, macOS Sequoia, iPadOS 18, watchOS 11, and visionOS 2.
- Geographic diversification — Europe (+7%) and Rest of Asia Pacific (+4%) outpaced the overall 2% company growth rate, partly offsetting an 8% decline in Greater China.
- Capital return program — a new \$110 billion share repurchase authorization (announced May 2024) and a raised quarterly dividend (to \$0.25/share) continue to return substantial capital to shareholders while shrinking share count (down ~500 million shares in FY2024).
- Cost discipline in Products — Products gross margin improved to 37.2% from 36.5% on cost savings, despite unfavorable currency and mix effects.
- Strong balance sheet liquidity — \$140.8 billion in cash, cash equivalents, and marketable securities supports continued R&D investment (\$31.4 billion in FY2024, +5%), acquisitions, and capital returns.

Source: Apple Inc. Form 10-K for the fiscal year ended September 28, 2024, filed with the U.S. Securities and Exchange Commission. This summary is for informational purposes only and does not constitute investment advice.